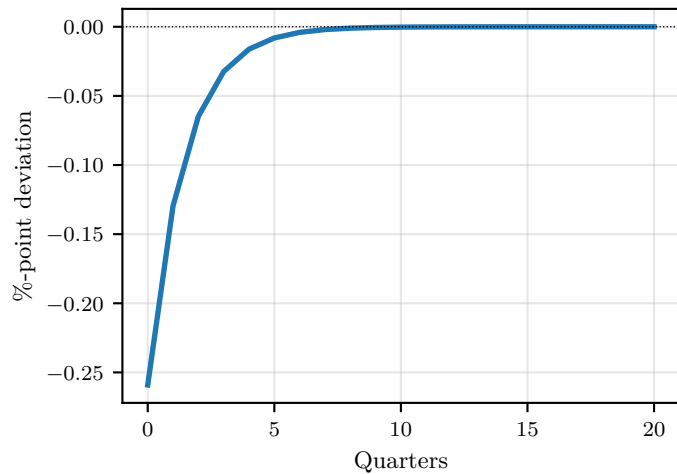
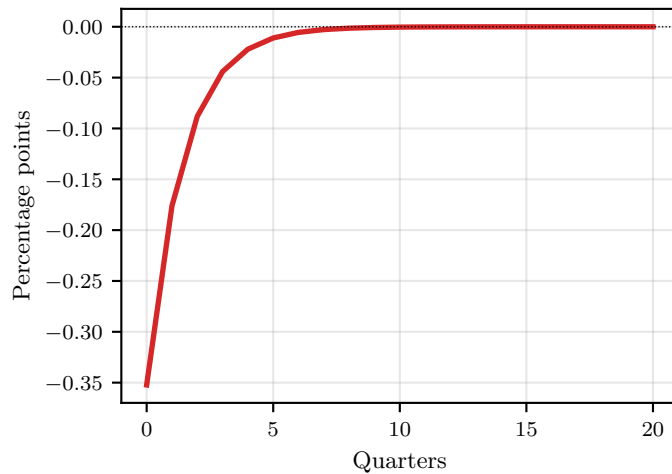


Impulse responses to a 25-bp contractionary monetary policy shock ($\varepsilon_t^m = 0.0025$, AR(1) with $\rho_m = 0.5$)

Output ($\hat{y}_t$)



Inflation ($\hat{\pi}_t$, annualised)



Interest rates (annualised)

